

Tempus AI, Inc.
TEM NASDAQ

Buy	\$61.89 ▲ 6.84%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$11.11B
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TEM: AI Health Play Ripping on Bullish Options Flow

WHAT HAPPENED

- TEM ripped +6.8% on LIGHTER volume than the prior week — that's actually notable. When a stock jumps on lower volume, it usually means sellers stepped away rather than a flood of new buyers. The setup: call options (bets the stock goes up) are outnumbering puts (bets it goes down) 5-to-1, so speculators are leaning bullish into July.
- The Cathie Wood/ARK angle matters here — ARK owns 5.5% of the company and any hint she's adding fuels the retail momentum trade. Meanwhile, the CFO sold \$634K worth of stock at \$55 last week, which is a yellow flag you can't ignore.

WHY IT MATTERS

Here's what I'm seeing: the stock is up 13% in a week while the CFO was dumping shares at \$55 — that tells you insiders think fair value is closer to the mid-\$50s than the \$60s, and retail/momentum traders are pushing it higher regardless. The bullish options flow (\$64 and \$67 calls getting bought aggressively) suggests traders are positioning for an earnings pop or a policy catalyst in July. The bigger picture: Tempus sits at the intersection of AI and healthcare — two areas where the Trump administration's push for "AI dominance" and HHS Secretary RFK Jr.'s focus on chronic disease data collection could funnel federal dollars toward precision medicine platforms. But be careful — this is a \$11B company still losing money, so it trades on narrative, not numbers.

POLICY & POLITICAL WATCH

The key policy tailwind is the administration's AI Action Plan (rolled out in 2025) which explicitly prioritizes federal AI adoption in healthcare — Tempus's genomic sequencing and clinical AI platform is a direct beneficiary. Watch the FY2027 NIH and ARPA-H budget negotiations happening now in Congress — ARPA-H (the health version of DARPA) has been funding AI-driven cancer research, and Tempus has existing contracts in this space. The headwind risk: any Medicare reimbursement cuts to genomic testing (a perennial CMS debate) would directly hit Tempus's diagnostics revenue, which is roughly half the business.

IS IT EXPENSIVE?

At \$11.1B market cap on ~\$1.4B expected 2026 revenue, investors are paying about \$8 for every \$1 of revenue — expensive for a company still burning cash, but in line with other high-growth AI/healthcare hybrids. The justification only works if revenue keeps growing 30%+ AND they show a credible path to profitability by 2027. Right now you're paying for the story, not the earnings — which is fine if the story keeps getting better, dangerous if it doesn't.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-07-01 15:23 UTC

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Key Data

Price (USD)	\$61.89
12M Price Target	\$68.00
Upside / (Downside)	+9.9%
Market Cap	\$11.11B
FY2026E Revenue	\$1,420M
FY2027E Revenue	\$1,780M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$70.00	\$62.00	\$52.00
6 Months	\$80.00	\$65.00	\$45.00
1 Year	\$95.00	\$68.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.4%) and Financials (+2%) leading — this is a classic "risk-on" tape where investors are chasing growth and rate-sensitive names. Healthcare AI is riding the coattails.

COOLING OFF: Nothing is really breaking down today, but Real Estate and Materials are the laggards — suggests money isn't hiding in defensive/cyclical assets, it's chasing offense.

ROTATION WATCH: Money is flowing back into high-beta AI names as bond yields stabilize — that directly benefits Tempus and other unprofitable-but-growing AI stories that get punished when rates rise.

RELATED PLAY: If you like the AI + healthcare theme but want less volatility, look at Veeva (VEEV) for the picks-and-shovels play, or Recursion (RXRX) as the more speculative AI drug discovery cousin.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): Government AI contracts continue to expand — the template Tempus wants to follow in healthcare.
- RXRX (Recursion Pharmaceuticals): AI drug discovery peer catching similar momentum from the hedge fund/retail crowd.

TEM CONTEXT: Tempus is riding the same wave as other AI-hype names but with an actual commercial healthcare business underneath — that's why it deserves a premium to pure-play speculation, but at \$61 it's already pricing in a lot of good news. Leading the peer group today, which means any AI sector wobble hits it first.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story and the policy tailwind, but insider selling and a run into earnings makes me cautious about chasing here.

POSITION SIZE: 2-4% of portfolio — this is a volatile name that can move 10% in a day, so size it small enough that a bad print doesn't hurt your sleep.

ENTRY POINTS: I'd wait for a pullback to \$52-56 rather than chase \$62. If it doesn't pull back, you missed a trade, not a lifetime opportunity.

TIME HORIZON: 12-24 months — the real catalyst is proving they can grow revenue 30%+ while narrowing losses. Q2 earnings in August is the next test.

WHEN TO BAIL: If revenue growth slows below 25% year-over-year, if they announce a stock offering to raise cash, or if the CFO keeps selling — those are three strikes.

HEDGING: If you buy the stock, consider buying a small put option (insurance that pays off if the stock drops) around the \$55 strike for earnings season. Or just size the position smaller and skip the hedge.